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Unimicron | Asia Pacific

Investigation relating to transshipping China-made PCB

Key Takeaways

- Limited fundamental impact to numbers and our positive view. We would view any pullback as a good opportunity to accumulate, especially if below NT\$950.
- Our OW thesis on Unimicron is centered on its ABF story, and this investigation is related to its Hejiang site, which produces PCBs (2025 Annual Report).
- PCB (including HDI) was 36% of total revenue in 2Q26, but lower in terms of profits.
- The Hejiang factory that is under investigation was established in 1996-97, which seems to imply PCBs produced there are more likely non-AI related PCBs.

What happened? On August 28, the Taoyuan District Prosecutors Office directed investigators to visit Unimicron to conduct a search and investigation, primarily to examine matters relating to Offenses Against Agriculture, Industry, and Commerce.

- According to local media (Taipei Times, 30 Aug 2026), five defendants were released on bail ranging from NT\$0.3M to NT\$15M, and nine were released without bail.

Unimicron's official response: Unimicron announced it will fully cooperate with the investigative authorities. The matter primarily concerns a dispute over transshipping China-made boards to Taiwan for "Made in Taiwan" relabeling under the offense of obstructing agriculture, industry, and commerce. The individuals involved in the investigation include one general manager, one deputy general manager, and colleagues from the relevant departments. There is no material impact seen on the company's financial condition or business operations, but Unimicron said it will issue a material information announcement after the District Prosecutors Office provides a formal explanation.

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Unimicron (3037.TW, 3037 TT)

Greater China Technology Hardware | Taiwan

Stock Rating	Overweight
Industry View	In-Line
Price target	NT\$1,465.00
Up/downside to price target (%)	32
Shr price, close (Aug 28, 2026)	NT\$1,110.00
52-Week Range	NT\$1,230.00-128.18
Sh out, dil, curr (mn)	1,505
Mkt cap, curr (mn)	US\$52,806
EV, curr (mn)	US\$55,221
Avg daily trading value (mn)	US\$531

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT\$)**	4.34	14.85	33.48	58.07
EPS (NT\$)§	3.93	20.33	38.79	65.76
Revenue, net (NT\$ mn)	131,241	184,755	265,117	355,074
EBITDA (NT\$ mn)	26,272	45,798	84,898	131,827
ModelWare net inc (NT \$ mn)	6,673	22,855	51,521	89,367
P/E	50.7	74.7	33.2	19.1
P/BV	3.2	13.5	10.2	7.3
RNOA (%)	3.7	11.3	25.6	41.9
ROE (%)	6.7	21.4	40.7	53.4
EV/EBITDA	15.8	38.1	20.2	12.6
Div yld (%)	0.7	0.2	0.6	1.4
FCF yld ratio (%)	(0.6)	1.7	4.5	6.7
Leverage (EOP) (%)	(8.6)	(31.2)	(64.3)	(86.1)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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AlphaSignals Catalyst Event Reaction

Company / Catalyst	Date	Impact to thesis	Catalyst versus expectation
Unimicron 3037.TW			
Investigation by Authorities relating to Offenses Against Agriculture, Industry, and Commerce	28 Aug 2026	Unchanged	N/A
Takeaways:			
• Based on what we know now, impact is limited			

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Unimicron (3037.TW)

Base case, residual income (RI) valuation model, which we think derives the most accurate value of the firm given that it takes into account cost of equity. We use a cost of equity of 9.2% [risk-free rate of 1% (10-year Taiwan government note yield), equity risk premium of 8.7%, and a beta of 1.0], a medium-term growth rate of 15%, and a terminal growth rate of 3%.

Risks to Upside

- Better-than-expected ABF substrate demand from PC and server customers
- Capex cuts; halt to its capacity expansion plan
- Continued yield issues of alternative technology that doesn't require substrate (e.g., CoWoP)

Risks to Downside

- Sudden demand shortfall
- Technological change that would not require ABF substrates
- Intensifying competition
- Yield issues or production hiccups when ramping new capacity

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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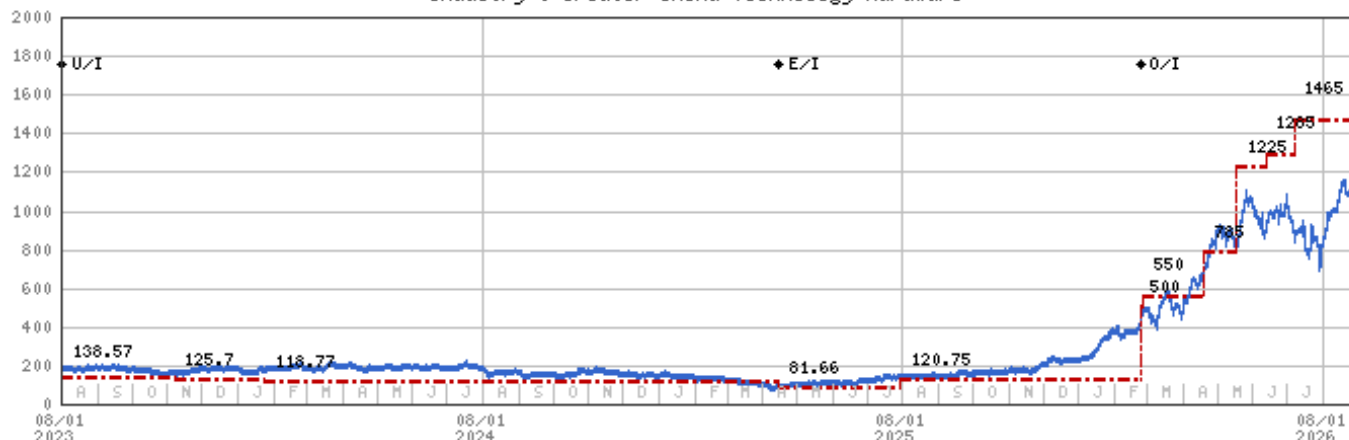
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Unimicron (3037.TW) - As of 08/30/26 GMT in TWD
Industry : Greater China Technology Hardware



Stock Rating History: 8/1/21 : NA/I; 10/22/21 : O/I; 6/1/22 : E/I; 2/22/23 : U/I; 4/15/25 : E/I; 2/23/26 : O/I

Price Target History: 10/22/21 : 188.06; 10/27/21 : 237.55; 2/9/22 : 267.24; 2/24/22 : 366.22; 6/1/22 : 237.55; 8/23/22 : 178.16; 10/27/22 : 133.62; 12/21/22 : 123.72; 2/2/23 : 116.79; 2/22/23 : 98.98; 6/7/23 : 138.57; 11/7/23 : 125.7; 1/24/24 : 118.77; 4/15/25 : 81.66; 7/30/25 : 120.75; 2/23/26 : 500; 2/26/26 : 550; 4/20/26 : 785; 5/18/26 : 1225; 6/12/26 : 1285; 7/7/26 : 1465

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/28/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$41.00
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb173.61
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$24.76
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.63
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.27
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb399.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$917.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.51
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.67
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb35.10
Largan Precision (3008.TW)	O (07/10/2026)	NT\$7,065.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.78
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.47
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.36
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$63.55
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb56.60
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb7.61
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.76
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb56.04
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$45.50
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb57.44
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$66.20
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb263.58
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb19.79
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.82

Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb422.36
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$170.30
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb105.33
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb26.12
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb858.35
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.58
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.63
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,125.00
Advantech (2395.TW)	O (01/20/2021)	NT\$669.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,415.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,360.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.85
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,140.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,260.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.92
Chenbro (8210.TW)	O (07/23/2025)	NT\$990.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,010.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,830.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$160.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$62.60
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,345.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$354.00
Innolux (3481.TW)	E (04/07/2025)	NT\$48.60
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$14,300.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb38.23
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$317.50
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.96
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.72
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb215.60
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$30.85
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$965.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$206.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$39.70
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.34
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb64.04
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$349.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$1,130.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$253.00
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb77.44
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$3,305.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.96
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,735.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,240.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$88.50
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$332.50
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb145.65
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb362.40
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,110.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$434.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$178.00
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$7,200.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$597.00
Zhen Ding (4958.TW)	++	NT\$480.50

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